HEIRSTONE CONSULTING

SEASONAL COASTAL CITIES

Beyond August

What turns a resort coast into a year-round city, measured across 18 resort towns, and what it means for Egypt's North Coast, Ras El Hekma and the Saudi Red Sea



SIX NUMBERS FROM THIS REPORT

38.2%

of air passengers between the EU and Egypt flew in November to March 2025, a larger winter share than at any Mediterranean airport in our index.

78.6x

Crete's tourist nights in August 2025 against January. Its main airport swung 14.3 times.

80.9%

of the Algarve's November to March tourist nights in 2024 came from foreign guests.

2.46

dwellings per resident at La Grande-Motte in 2023, a purpose-built French resort. In 1975 the figure was 2.47.

1m+

people planned for Ras El Hekma, a new city on 44 km of coast backed by ADQ's US$24bn payment for development rights.

920,000 m^3

a day of North Coast desalination capacity targeted for 2028, 2.6 times the capacity in place in 2026.

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ABOUT THIS REPORT

Heirstone Consulting advises developers, sovereign and private investors, land agencies and tourism authorities across the Middle East and Africa. This report uses public sources current in 2026: Eurostat's monthly airport, accommodation and energy series, national censuses in France, Spain, the United States and Egypt, government and developer disclosures, and press reports.

It introduces two Heirstone datasets: the **Heirstone Seasonality Index**, built from monthly data for 20 resort airports, 12 coastal regions and two proxy series for Egypt and the UAE, and the **Heirstone Resort Permanence Benchmark** of 18 resort towns and counties. Chapter 7 sets out **the January Test**, five checks for any coastal city plan.

Figures we derive by combining published numbers are labelled Heirstone analysis, with their inputs. Single-source estimates are attributed in the text.



WHAT WE FOUND

A resort coast's winter is largely settled before its first home is sold

We measured seasonality at 20 resort airports and in 12 coastal regions, and the housing of 18 resort towns. The coasts that work all year have two things the others lack: homes that are lived in and a winter market that arrives by air. Most also have a large employer that stays open in February.

Airport counts understate how seasonal a resort economy is.

Our Seasonality Index divides a year's air passengers by those of the busiest month. Mykonos's year is worth 4.0 peak months and Lanzarote's 10.8. Accommodation swings much harder. Crete's tourist nights in August 2025 were 78.6 times January's, against 14.3 times at Heraklion airport, and the island's bed-places were 94% used in August and 1.2% in January.

Winter demand comes from abroad, and that is where growth has been.

In the Algarve, nights spent by domestic guests swing 11.6 times between January and August and those of foreign guests 4.0 times; foreigners supply 80.9% of November to March nights. Between 2014 and 2024 Faro's November to March passengers rose 98.6%, twice the growth of its summer, and Malaga's January traffic rose 128%.

The housing mix a resort starts with tends to stay.

La Grande-Motte, built on an empty site from the late 1960s, had 2.47 dwellings per resident in 1975 and 2.46 in 2023. Saint-Tropez moved the other way and has lost 42% of its residents since 1968. Of 11 French resorts, only the two inside an urban corridor have a majority of homes lived in all year. Second-home surcharges in France and Wales came after the shares were already high.

Few anchors move January, and the popular ones are small.

Large universities, state-funded winter travel and a big city within daily reach go with fuller winters; only the state-funded travel has a directly measured effect. Spain's 27,875 digital-nomad permit holders, families included, are little more than half the foreign residents registered in Marbella alone. Antalya's foreign residents fell by about a quarter within a year of their 2022 peak.

Egypt is turning its North Coast into year-round cities.

New Alamein already has a university, an industrial zone and the cabinet's summer meetings. Ras El Hekma, backed by ADQ's US$24bn payment for development rights, is planned for over one million people. High-speed rail is due to reach the coast from July 2027, and desalination capacity is set to rise 2.6 times by 2028. EU-Egypt air traffic, which includes Cairo and the Red Sea resorts, already flies 38.2% of its passengers in November to March, more than any Mediterranean airport in our index. Bringing that winter market to the Mediterranean shore is the next step.

WHAT IT MEANS

Governments and land agencies should fix the housing mix, the first institutions and the phasing of utilities in the masterplan, and publish monthly data on airports, hotels and utilities.

Master developers should report January occupancy alongside sales and lead each phase with hotels, campuses or clinics that stay open all year.

Investors and lenders should underwrite on the November to March share of demand and treat incentive-led and event-led demand as cyclical.

22

series in the Heirstone Seasonality Index: 20 airports plus proxies for Egypt and the UAE

18

resort towns and counties in the Heirstone Resort Permanence Benchmark

5

checks in the January Test, applied to the North Coast, New Alamein, Ras El Hekma and the Saudi Red Sea



CHAPTER 1

01 Measuring the empty months

Resort statistics describe the peak: visitors per season, occupancy in August, rooms in short supply. The cost of a seasonal coast sits in the other nine months, and few places measure them.

The Heirstone Seasonality Index uses the one source that records every month on a common basis across countries: Eurostat's monthly passenger counts for European and Turkish airports, and its accommodation statistics for coastal regions. We took 20 resort and contrast airports for 2024 and 2025, tourist nights and bed-places for 12 coastal regions, and two proxies for markets outside Eurostat's airport series: air traffic between the EU and Egypt, and between the EU and the UAE.

The headline measure is peak-equivalent months, a year's passengers divided by those of the busiest month. A perfectly even year scores 12. A score of 4 means the whole year carried as many passengers as four peak months. We also report the ratio of the busiest month to the quietest, the share of traffic between November and March, and January as a share of August.

The measure has limits. Airports serve residents and business travellers as well as holidaymakers, and the Egyptian proxy includes Cairo. That is why we pair each airport with its region's accommodation data, which turn out to matter more to anyone building beds.

20

resort and contrast airports, monthly, 2024 and 2025

12

coastal regions with monthly nights and bed-places

16.2m

air passengers between the EU and Egypt in 2025, up 22.1% on 2024: the monthly series we use for Egypt

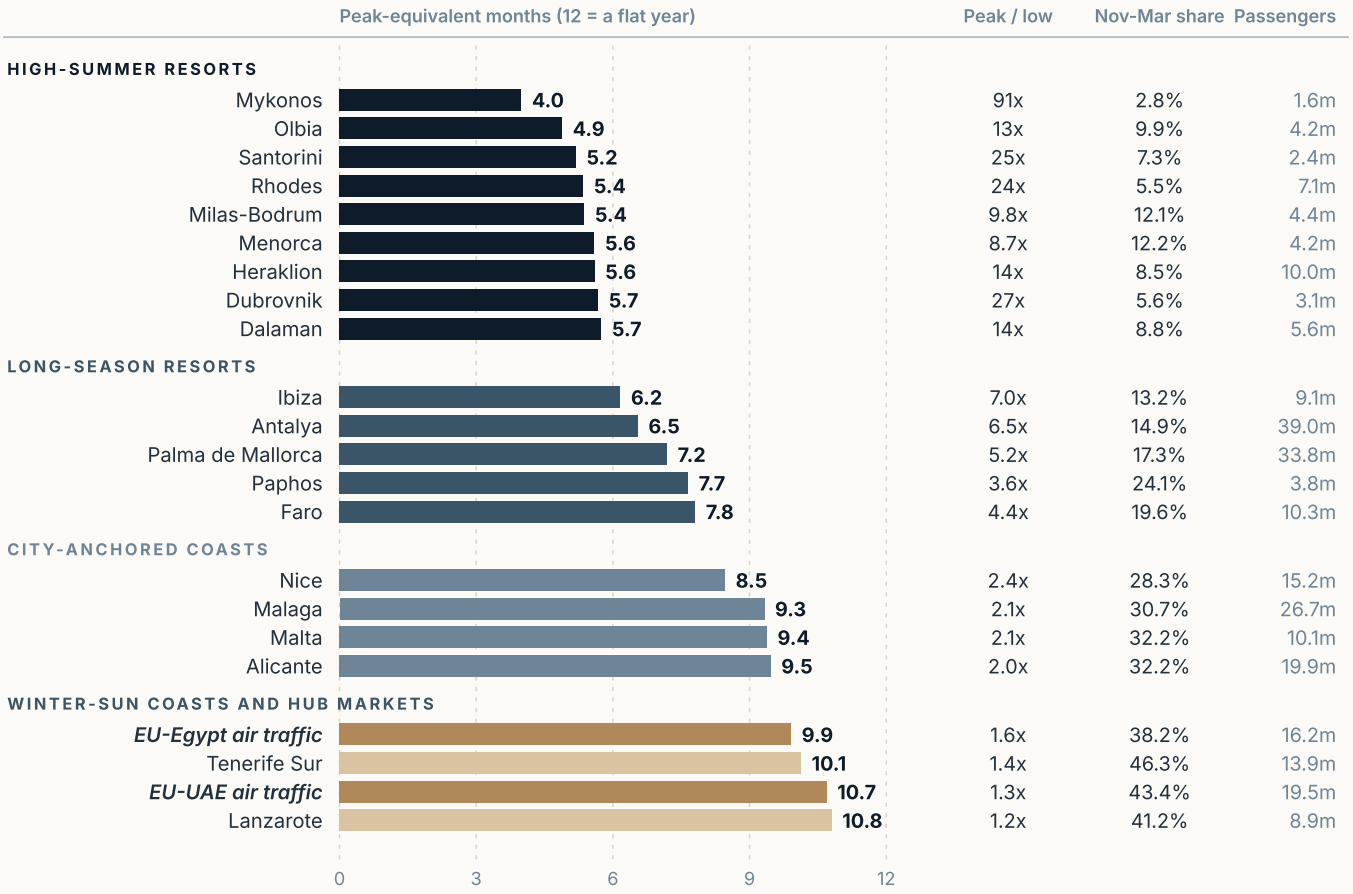
THE INDEX

The index sorts 22 series into four profiles, from four peak months a year to almost eleven

EXHIBIT 1

Heirstone Seasonality Index 2025: the year at Mykonos is worth four peak months; at Lanzarote, almost eleven

Peak-equivalent months (annual passengers divided by the busiest month), ratio of busiest to quietest month, and November to March share of passengers, 2025



Source: Eurostat, avia_paoa, monthly passengers carried by airport (updated 30 Sep 2026); Eurostat, avia_paexcc, EU27 passengers by partner country (2025). **Heirstone Seasonality Index; Heirstone analysis.** The EU-Egypt and EU-UAE series are proxies covering every airport in each country, including Cairo and the Gulf hubs, and are shown in gold.

The most seasonal places are islands and resort coasts without a city behind them. Mykonos carried 393,105 passengers in August 2025 and 4,326 in February. Rhodes, Dubrovnik, Heraklion and Dalaman each moved more than 14 times as many passengers in their busiest month as in their quietest, and fewer than one in ten flew between November and March.

City-anchored coasts sit at the other end: Nice, Malaga, Malta and Alicante score 8.5 to 9.5, with 28 to 32% of traffic in the winter months. The Canaries score above 10 because winter there is as busy as summer. EU-Egypt air traffic scores 9.9, closer to Tenerife than to any Mediterranean resort.

Scale raises the floor, but the curve keeps its shape. Antalya carried 39.0 million passengers in 2025 and scores 6.5, yet its quietest month, 914,092 passengers, was busier than Nice's January.

91x

Mykonos airport, August against February 2025

9.9

index score for EU-Egypt air traffic, between Alicante and Tenerife Sur

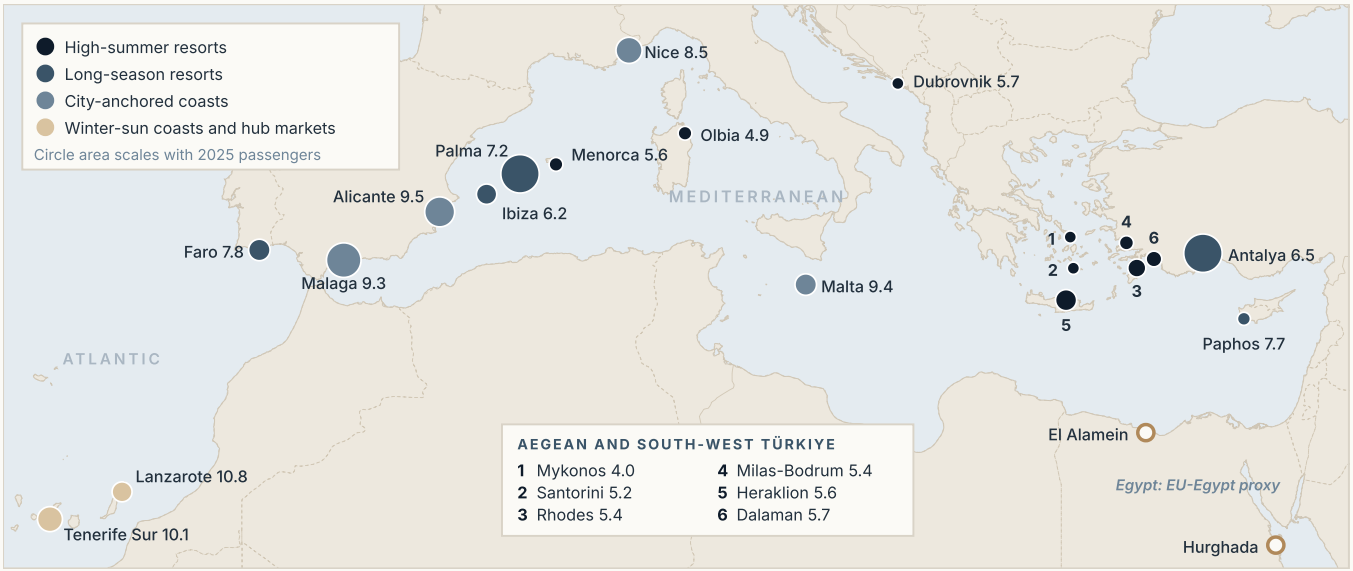
GEOGRAPHY AND SHAPE

The deepest troughs are on the islands. The shallowest are where a city, or winter sun, fills the year.

EXHIBIT 2

The Greek islands and the Adriatic have the deepest troughs; Iberia's city coasts and the Canaries the shallowest

Heirstone Seasonality Index score (peak-equivalent months) by airport, 2025

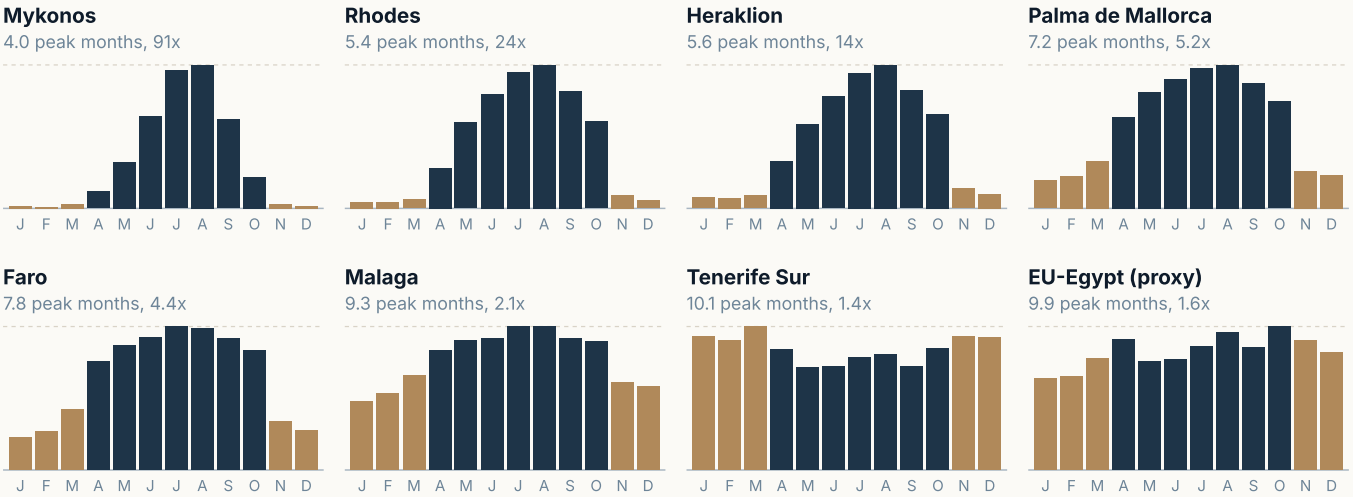


Source: As Exhibit 1. Aerodrome reference points rounded to two decimals. Egyptian resort airports are shown for location, at their GeoNames positions; Egypt is scored through the EU-Egypt series in Exhibits 1 and 3.

EXHIBIT 3

One peak and a deep trough, or a plateau with a floor

Monthly passengers indexed to the busiest month, 2025; November to March in gold



Source: Eurostat, avia_paoa and avia_paexcc (2025). **Heirstone analysis.**

The shapes differ as much as the totals. Heraklion's February traffic was 7% of its August's, and the island resorts run a single summer peak with a trough from November to March. Malaga's quietest month carried 48% of its busiest, on a plateau that runs from April to October. Tenerife Sur peaks in March, and EU-Egypt traffic in October.

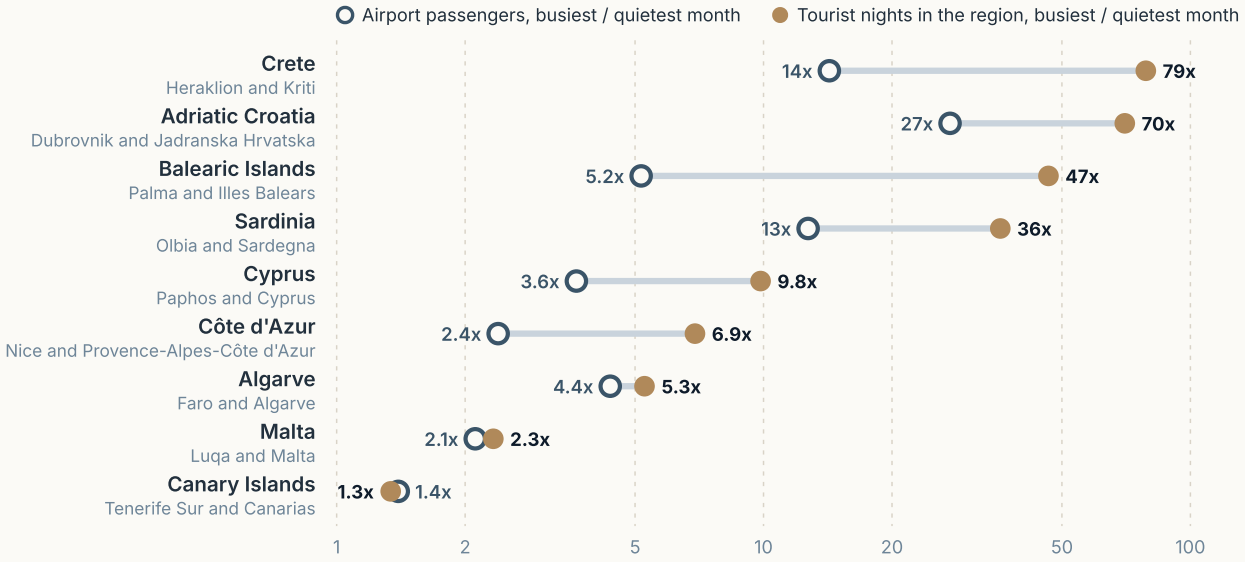
BEDS AND PLANES

Hotels and rentals swing far harder than airports, because in winter most of the stock shuts

EXHIBIT 4

On summer islands, tourist nights swing several times harder than air traffic; on Malta and the Canaries the two move together

Ratio of busiest to quietest month, log scale: airport passengers against nights in tourist accommodation in the surrounding region, 2025

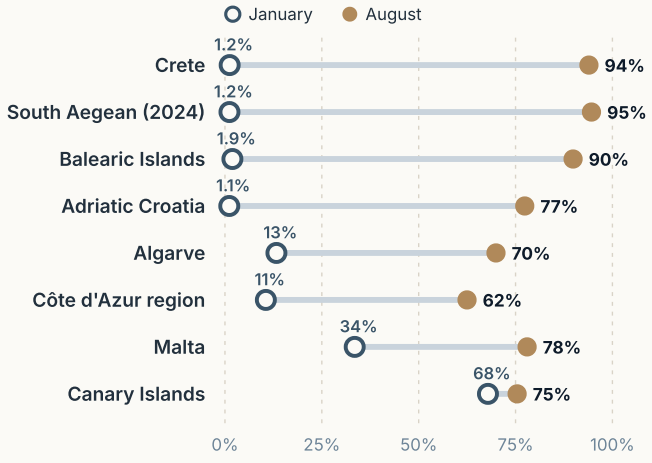


Source: Eurostat, avia_paoa (2025) and tour_occ_nin2m, nights in hotels, holiday accommodation and campsites (2025). **Heirstone analysis.** Airport and region are not identical geographies.

EXHIBIT 5

Crete uses 94% of its bed-places in August and 1% in January

Implied use of bed-places, August and January 2025 (South Aegean 2024)



Source: Eurostat, tour_occ_nin2m and tour_cap_nuts2 (bed-places). **Heirstone analysis:** nights divided by bed-places times days. Bed-places are an annual stock that includes establishments closed in winter. Sardinia omitted because of a break in its bed-place series.

Airports are a weak guide to how a resort economy behaves. They carry residents, business travellers and visitors to the nearest city throughout the year. Accommodation statistics count only overnight stays. Balearic nights swung 46.5 times between August and January 2025, against 5.2 times at Palma airport; Crete's swung 78.6 times against 14.3 at Heraklion. Across the whole EU, August nights were 3.6 times January's.

Exhibit 5 converts nights into implied use of the bed-places each region reports. Crete, the South Aegean, the Balearics and Adriatic Croatia fill 77 to 95% of their beds in August and 1 to 2% in January. In January most of that stock is closed or empty. Malta uses a third of its beds in January and the Canaries more than two thirds.

The finding bears directly on the region. In 2024 the head of Egypt's Tourism Syndicate said the North Coast needed 25,000 to 30,000 more hotel rooms, with resort occupancy reaching 100% in summer. On the European evidence, those rooms earn most when paired with a winter market.

CHAPTER 2

02

Who comes in winter

On Europe's sun coasts the off-season belongs to foreign visitors. Domestic holidaymakers follow school calendars and crowd into August.

The Algarve shows the split most clearly. In 2024 guests resident in Portugal spent 127,837 nights in the region's tourist accommodation in January and 1,482,165 in August, a swing of 11.6 times. Foreign guests swung 4.0 times. Foreigners accounted for 75.8% of the year's nights, 80.9% of those between November and March and 87.0% in October.

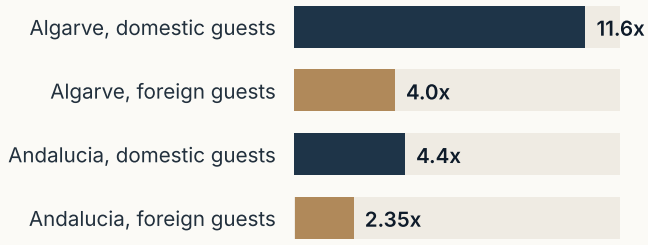
Andalucia, which includes Malaga and the Costa del Sol, has the same pattern at a lower amplitude. Domestic nights there swing 4.4 times between January and August and foreign nights 2.35 times. Foreign guests supplied 42.4% of Andalucia's August nights in 2024 and 67.3% of its October nights.

For a new coast this decides who it should be built for. In both regions the domestic market produces the sharper summer peak. Egypt's North Coast draws most of its summer visitors by road from Cairo and Alexandria: El Alamein airport's 120,345 passengers in June to August 2026 equal about 2% of the 6 million cited in a 2023 press report on the governorate's beach season. Its air traffic grew 22.6% that summer, and on the Algarve's evidence foreign visitors are the market that can extend its season.

EXHIBIT 6

Domestic guests are almost three times as seasonal as foreign guests in the Algarve

Ratio of August to January nights in tourist accommodation, by guests' country of residence, 2024



Source: Eurostat, tour_occ_nin2m by country of residence. **Heirstone analysis:** domestic nights = total minus non-residents.



80.9%

of the Algarve's November to March tourist nights came from foreign guests in 2024

+22.6%

growth in El Alamein airport's June to August passengers in 2026, to 120,345 (aviation ministry)

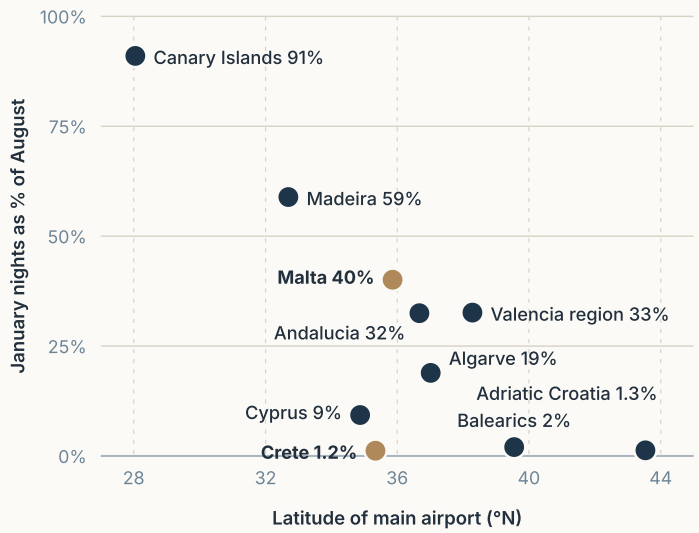
SAME SEA, DIFFERENT WINTERS

Crete keeps 1% of its August business in January. Malta, at almost the same latitude, keeps 40%.

EXHIBIT 7

Latitude explains little of a coast's winter

January nights in tourist accommodation as a share of August, by region, 2024



Source: Eurostat, tour_occ_nin2m (2024). **Heirstone analysis.** Latitude of each region's main airport, approximate.

Climate sets the outer limits, as the Canaries and Madeira show. Within the Mediterranean's band of latitudes it explains little. Crete and Malta lie less than a degree apart; in January Crete's accommodation holds 1.2% of its August nights and Malta's 40.1%. The Algarve, further north than either, holds 18.9%, and the Balearics 2.0%.

The places with the deeper winters offer the least outside the beach season. Malta is a small state with a capital, a university and a services economy. Andalucia and the Valencia region contain large cities. Crete and the Balearics have cities and universities too, but on the evidence of Exhibit 5 almost all of their tourist beds stand empty in January.

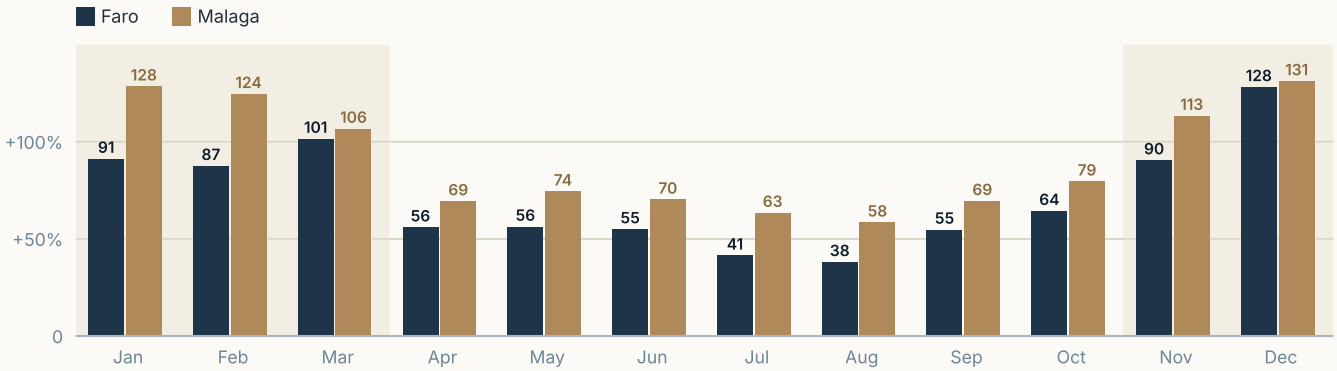
40.1%

Malta's January nights as a share of August, 2024, against 1.2% for Crete

EXHIBIT 8

Over ten years the quiet months grew fastest at Faro and Malaga

Growth in passengers carried by month, 2014 to 2024 (%); November to March shaded



Source: Eurostat, avia_paoa, monthly passengers carried (2014, 2024). **Heirstone analysis.**

The coasts that changed did so from the bottom of the year. Between 2014 and 2024 Faro's passengers in November to March rose 98.6%, against 46.5% for June to September, and the winter share of its traffic rose from 15.7% to 19.7%. Malaga's November to March traffic rose 119.5% and its June to September traffic 64.9%; its ratio of peak to trough fell from 2.85 to 1.98. At both airports December grew fastest, by about 130%.

The latest year shows a different pattern. Across 14 Mediterranean resort airports, traffic in 2025 grew 3.1% in the shoulder months, 1.8% in June to August and 1.0% from November to March, so the season lengthened at its edges more than in its depth. Part of the spring shift reflects the timing of Easter. In the Algarve, golf demand peaks in March, April, October and November, according to the national golf council.

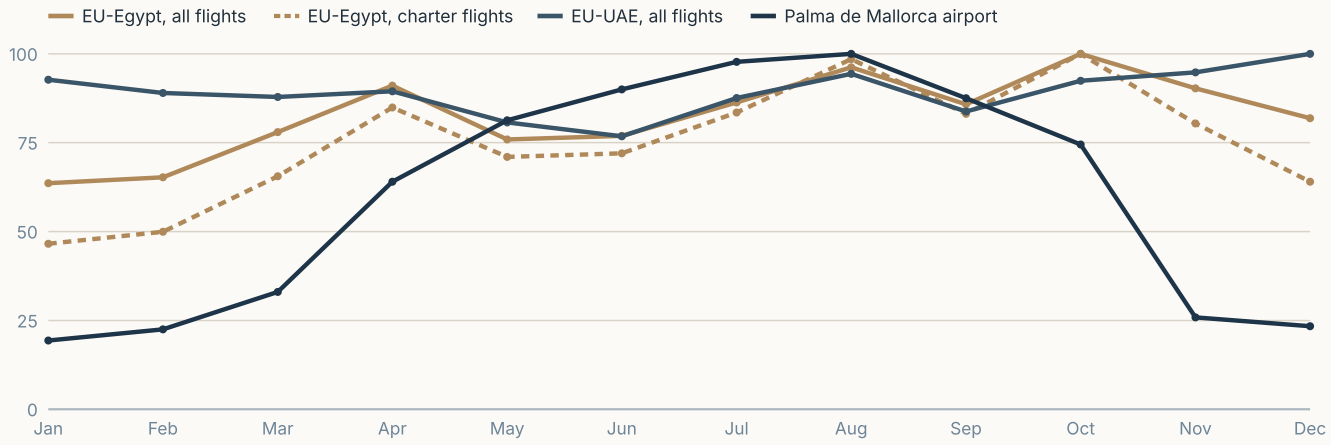
EGYPT AND THE GULF IN THE INDEX

Egypt already sells winter, on its other coast

EXHIBIT 9

Air traffic between the EU and Egypt peaks in October; Palma peaks in August and empties in winter

Monthly air passengers indexed to the busiest month (=100), 2025



Source: Eurostat, avia_paexcc, EU27 extra-EU passengers by partner country, and avia_paoa (Palma), 2025. **Heirstone analysis.** EU-Egypt includes Cairo; the charter series is the closer proxy for leisure travel.

For Egypt we use Eurostat's count of passengers flying between the EU and Egypt, the most complete monthly series available for its resort traffic. It includes business and family travel through Cairo, so the charter series, 35.2% of the total in 2025, is the closer guide to holiday traffic.

Both series peak in October. In 2025, 1,636,384 passengers flew between the EU and Egypt in October and 1,040,555 in January, a ratio of 1.57. November to March carried 38.2% of the year's 16.2 million passengers, which grew 22.1% on 2024. The charter series swung 2.15 times and also peaked in October. That is a winter-sun profile, close to Tenerife Sur's. Hurghada airport alone handled about 10.5 million passengers in the 2024/25 fiscal year, 22% more than a year earlier, according to Ecofin Agency, about as many as Faro. Egypt as a whole received a record of about 19 million tourists in 2025, 21% more than in 2024, according to the tourism ministry.

The Gulf runs to a different calendar. EU-UAE traffic was lowest in June and highest in December, and Dubai International's busiest month in 2025 was December, with 8.7 million passengers. Gulf visitors come to the North Coast in their own hot months: Saudia's Riyadh and Jeddah flights to Alamein ran from 12 June to 14 September 2026, and flydubai, Etihad and Gulf Air also fly there in summer.

Egypt therefore holds both profiles in one country. Its Red Sea and Sinai resorts sit inside a market whose European traffic peaks in October. Its North Coast has a summer peak fed by domestic and Gulf visitors, and the European winter market that its other coast already serves is the one it can add next.

38.2%

of EU-Egypt air passengers flew between November and March in 2025

1.57

ratio of busiest to quietest month for EU-Egypt traffic, 2025

19m

tourists received by Egypt in 2025, a record, up 21% on 2024 (tourism ministry)

CHAPTER 3

03 Homes without residents

Seasonality is usually treated as a tourism problem. In resort towns it shows up first in the housing stock.

Across the 11 French resort communes in our benchmark, 61.7% of 198,599 dwellings are second homes or occasional dwellings.

The Heirstone Resort Permanence Benchmark covers 18 resort towns and counties in France, Spain and the United States. Exhibit 10 shows the 17 with a comparable housing measure, with the city of Palma and Egypt's Matrouh governorate for reference.

1.54

dwellings per resident across the 11 French resorts, 2023 (Heirstone analysis)

0 of 11

French resorts with more births than deaths, 2017 to 2023

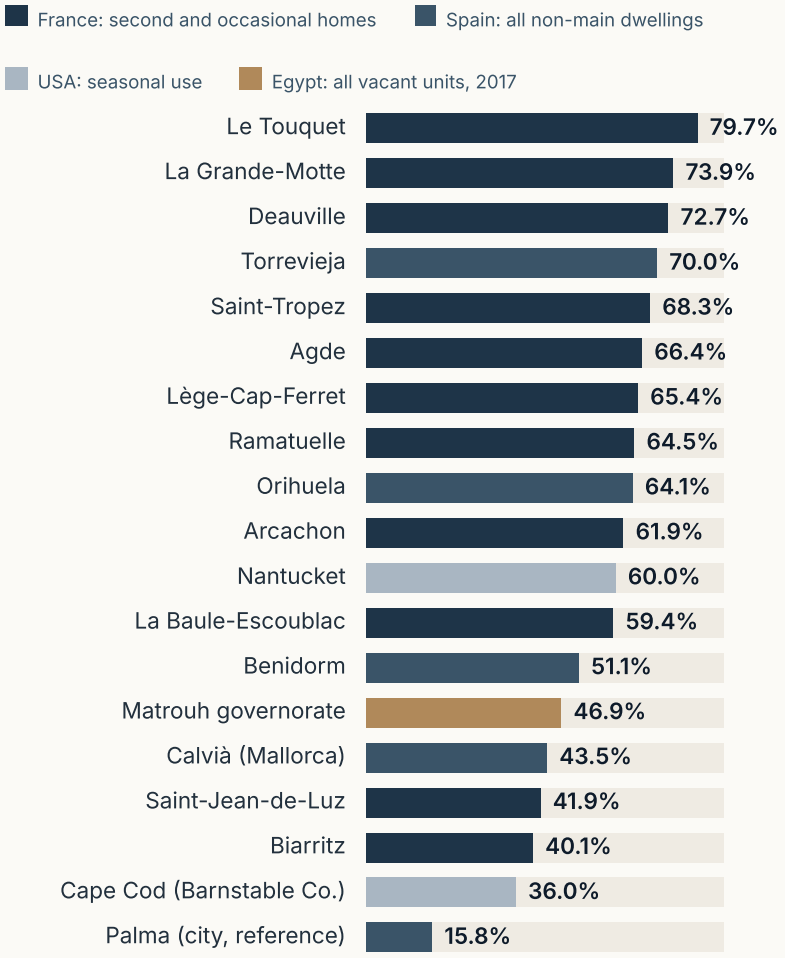
THE BENCHMARK

In 13 of 17 resort towns and counties, most homes are no one's main residence

EXHIBIT 10

Heirstone Resort Permanence Benchmark: share of homes not used as a main residence

Latest census year: France 2023, Spain 2021, USA 2020, Egypt 2017



Source: INSEE, Comparateur de territoires, RP 2023; INE, Censo de Población y Viviendas 2021; Massachusetts EOHLC housing snapshots; CAPMAS 2017 census via Amwal Al Ghad and Egypt Independent (Oct 2017). **Heirstone Resort Permanence Benchmark.** Definitions differ by country; see Notes.

The measures are not identical. Spain counts every non-main dwelling, including empty ones, and Egypt's census counts all vacant units, among them 2.8 million homes nationally that were closed because the family had another dwelling. Matrouh's 46.9%, like the Red Sea's 39.3% and South Sinai's 34.1%, includes homes closed because their owners live elsewhere, the pattern of second-home coasts across the benchmark, and sits below 13 of the 17 resort towns and counties shown.

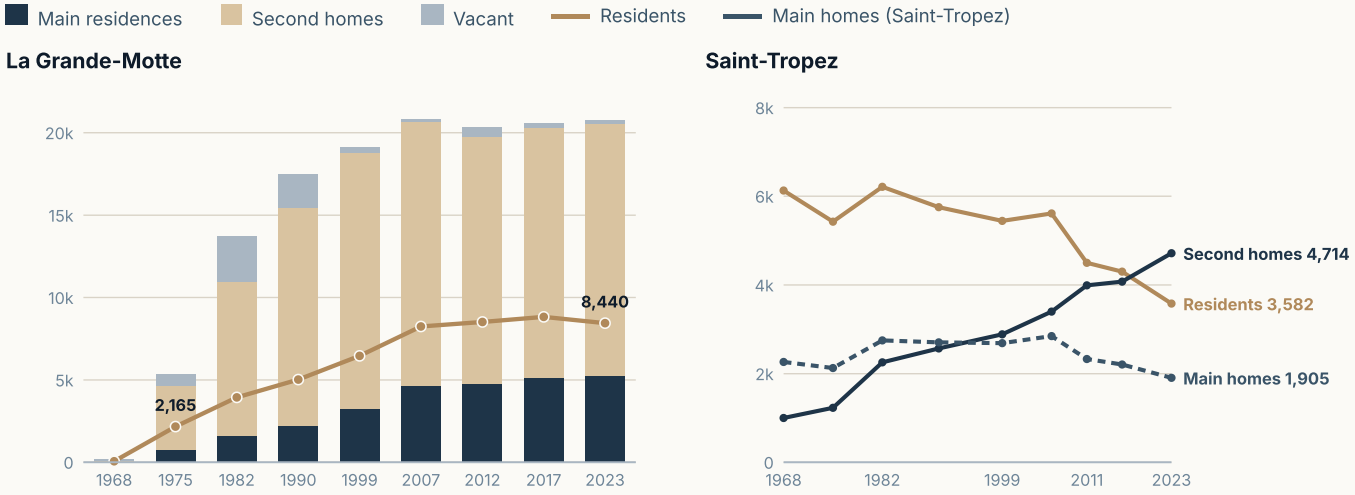
TWO TRAJECTORIES

Fifty-five years on, La Grande-Motte still has about two and a half homes for each resident

EXHIBIT 11

A purpose-built resort fills up without becoming a town; an old town becomes a resort and empties

La Grande-Motte: dwellings by use and residents, census years 1968 to 2023 (left). Saint-Tropez: residents, second homes and main homes, 1968 to 2023 (right)



Source: INSEE, Dossier complet La Grande-Motte (RP 2023) and Saint-Tropez (2016 vintage); INSEE Comparateur de territoires (2023). Saint-Tropez 2023 main and second homes derived from published shares. **Heirstone analysis.**

La Grande-Motte is the cleanest test of whether a purpose-built resort grows into a town. The 1968 census found 56 residents on the site. By 1975 there were 5,340 dwellings and 2,165 residents, 2.47 dwellings each, and by 1982 the stock had reached 13,744.

Since then the town has filled up without changing its character. The vacant stock fell from 2,777 dwellings in 1982 to 185 in 2023, so almost every home is owned and used. Main residences rose from 722 to 5,238, from 13.5% to 25.2% of the stock: a gain of about a quarter of a percentage point a year. Residents peaked at 8,820 in 2017 and numbered 8,440 in 2023, and the town's 2.46 dwellings per resident are where they stood in 1975.

Saint-Tropez shows the conversion running the other way, and faster. In 1968 it had 3,507 dwellings for 6,130 residents, and 64.5% of homes were main residences. By 2023 it had 6,902 dwellings, 3,582 residents and 27.6% main residences, a loss of about two thirds of a point a year, nearly three times La Grande-Motte's rate of gain. It counts 4,183 jobs, 1.17 for each resident, so much of its workforce must live elsewhere. Its population fell 3.2% a year between 2017 and 2023.

For a new coast the point is timing. At La Grande-Motte the occupancy mix set in the first phases was close to the mix the town had decades later, and in Saint-Tropez the drift ran towards second homes, at nearly three times the pace.

+0.24

percentage points a year: La Grande-Motte's gain in main residences, 1975 to 2023 (Heirstone analysis)

-0.67

percentage points a year: Saint-Tropez's loss of main residences, 1968 to 2023 (Heirstone analysis)

1.17

jobs per resident in Saint-Tropez, 2023

THE FRENCH SAMPLE

Only the two resorts inside an urban corridor have a majority of homes lived in all year

EXHIBIT 12

Biarritz and Saint-Jean-de-Luz have about one dwelling per resident; La Grande-Motte and Le Touquet have between two and a half and three

Eleven French resort communes, census 2023; population change and its components, average % a year, 2017 to 2023

COMMUNE	RESIDENTS	DWELLINGS	MAIN HOMES %	SECOND HOMES %	DWELLINGS PER RESIDENT	JOBS PER RESIDENT	POPULATION %/YR	NATURAL BALANCE %/YR	NET MIGRATION %/YR
Biarritz	26,206	26,457	57.8	40.1	1.01	0.57	+0.5	-1.0	+1.5
Saint-Jean-de-Luz	14,857	14,921	55.0	41.9	1.00	0.58	+0.9	-0.9	+1.8
La Baule-Escoublac	16,912	24,237	37.7	59.4	1.43	0.36	+0.8	-1.1	+1.9
Arcachon	11,092	17,920	36.9	61.9	1.62	0.54	-0.3	-2.0	+1.7
Ramatuelle	1,888	2,831	33.7	64.5	1.50	0.72	-1.5	-0.2	-1.3
Lège-Cap-Ferret	7,909	12,077	32.7	65.4	1.53	0.39	-1.0	-0.7	-0.3
Agde	29,939	50,728	31.9	66.4	1.69	0.34	+0.8	-0.5	+1.3
Saint-Tropez	3,582	6,902	27.6	68.3	1.93	1.17	-3.2	-0.9	-2.3
La Grande-Motte	8,440	20,769	25.2	73.9	2.46	0.38	-0.7	-1.2	+0.4
Deauville	3,539	9,045	23.4	72.7	2.56	1.38	-0.3	-1.5	+1.2
Le Touquet-Paris-Plage	4,224	12,712	19.3	79.7	3.01	0.90	+0.0	-1.6	+1.6
ALL 11	**128,588**	**198,599**	**36.3**	**61.7**	**1.54**	**0.52**			

Source: INSEE, Comparateur de territoires, RP 2023 and 2017-2023 components of change. **Heirstone analysis** for dwellings and jobs per resident and the totals row.

Biarritz and Saint-Jean-de-Luz, neighbours on the Basque coast between Bayonne and the Spanish border, are the only communes in the sample where main residences exceed half the stock, at 57.8% and 55.0%. The other nine sit between 19% and 38%. Natural balance was negative in all 11 between 2017 and 2023, from -0.2% to -2.0% a year. Eight gained people through net in-migration, and five held or grew their population.

Spain's 2021 census points to the effect of the tourism model. Benidorm, a hotel town, has 51.1% non-main dwellings; Torrevieja (70.0%) and Orihuela (64.1%), which grew on residential tourism, have the highest shares among the large Spanish municipalities sampled. Calvià on Mallorca has 43.5% against 15.8% in Palma, the island's capital.

The flow can also reverse. Cape Cod lost about 5,800 year-round homes to seasonal use between 2009 and 2019; the Massachusetts housing office estimates that 52 nights of short-term letting at about US$400 a night earn as much as a year's long-term rent on a three-bedroom home.

Policy arrived after the hollowing-out. French communes may surcharge second homes by up to 60%, and in 2025 1,628 of the 3,690 eligible did so, 657 at the maximum. Wales has allowed premiums of up to 300% since 2023, and the Balearics froze new tourist places in 2022.

57.8%

main residences in Biarritz, the highest in the French sample

5,800

year-round homes on Cape Cod converted to seasonal use, 2009 to 2019

52 nights

of short-term letting on Cape Cod equal a year of long-term rent

CHAPTER 4

04 What moves the trough

Most seasonal coasts reach for the same remedies: festivals, campaigns for remote workers, tax breaks for new residents and more hotel rooms. We graded each against the evidence of its effect on the off-season.

The evidence favours anchors that bring people who live and work in a place all year, or visitors from markets whose holidays fall in winter. Measures that add summer visitors, or residents who come for an incentive, show weak or reversible effects. Only one intervention, Spain′s subsidised winter holidays for pensioners, has a directly attributed effect; the rest are associations, and the ledger grades them as such.

EXHIBIT 13

The Heirstone off-season anchor ledger: institutions, city access and foreign winter markets carry the evidence

Interventions used to extend the season in resort cities, graded by the strength of evidence for an effect on off-season demand

● Strong evidence of effect ◐ Partial or conditional ○ Weak or reversible

ANCHOR	EVIDENCE	SCALE	EFFECT ON THE OFF-SEASON	TIME TO WORK
Access to a large city	Biarritz and Saint-Jean-de-Luz at 55 to 58% main residences in the Basque corridor; Malaga's peak-to-trough ratio down from 2.85 to 1.98, 2014 to 2024	City-region	● Strong association	Decades
Universities and teaching hospitals	Akdeniz University, Antalya: over 60,000 students. Gold Coast: Griffith campus with 21,000 students and an A$1.8bn university hospital (2013). University of the Algarve: about 10,000	Students at 2 to 3% of residents	● Adds residents all year	10 to 20 years
Winter leisure for foreign markets	Algarve: foreigners supply 80.9% of November to March nights; golf peaks in March, April, October and November; Faro's November to March passengers +98.6%, 2014 to 2024	Regional	● Strong structural evidence	10 years or more
State-funded off-season travel	Spain's IMSERSO: 879,213 places in 2026-27. Benidorm kept 87.6% of its hotel plant open in winter 2023-24 while 57% of hotels in Castellón province closed	National programme	◐ Direct, but participating hotels run 10 to 20 points below the city average	One season
Hotel-led tenure	Benidorm: 51.1% non-main dwellings, against 70.0% in Torrevieja and 64.1% in Orihuela	Town	◐ Association	Set at launch
Events and festivals	Dubai Summer Surprises in July and August, with July occupancy still 46 to 50% in 2014 to 2018; Sochi's US$50bn Olympic programme; Egypt's aerospace show at Alamein in September, at the close of the beach season	Variable	◐ Works only outside the peak; slow or costly	Years to decades
Tax-led and visa-led residents	Antalya: 94,000 foreign residents (2020), 172,487 (2022), 117,052 permit holders (end-2023). Portugal's NHR regime closed to new entrants; its cost reached EUR 1.74bn in 2024	National	○ Reversible	Fast in, fast out
Digital-nomad visas	Spain: 27,875 permits including family members by the end of 2024	About half of one town's foreign residents	○ Negligible at resort scale	n/a

Source: Heirstone analysis of sources cited in Chapters 2 to 4: Eurostat; INE Censo 2021; Akdeniz University; Griffith University; Queensland Parliament (2013); University of the Algarve via Barlavento (2024); Visit Dubai (2026); Golubchikov (2017); IMSERSO (2026); Hosbec via Valencia Plaza (Nov 2023) and Hosteltur (Nov 2019); Gulf News citing STR; Albawaba citing HotStats; Cumhuriyet and Ekonomi Gazetesi citing Turkish migration data; Essential Business citing Conta Geral do Estado; The Local Spain citing the Permanent Immigration Observatory.

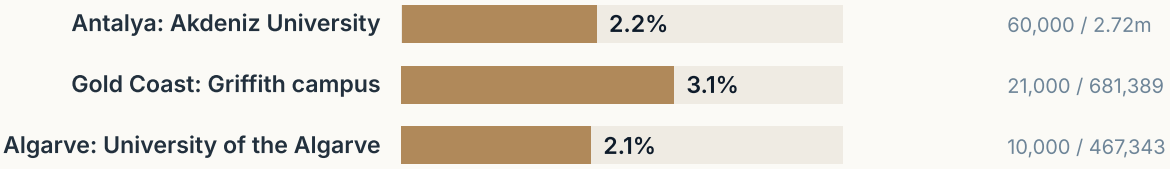
INSTITUTIONS AND THE STATE FLOOR

Resort cities with a large campus enrol the equivalent of 2 to 3% of their residents

EXHIBIT 14

Students as a share of the resident population in three resort cities and regions

Enrolment at the main university divided by population, latest available years



Source: Akdeniz University and YÖK (2023), with Eurostat population of Antalya province at 1 January 2025 (TÜİK); Griffith University, with the Queensland Government Statistician's Office (ABS, 2024); University of the Algarve via Barlavento (2024), with INE Census 2021 final results via Postal do Algarve (2022). **Heirstone analysis.** Bases differ: city for the Gold Coast, province for Antalya, region for the Algarve.

Universities are the most dependable year-round residents a coast can attract. The academic year runs from autumn to early summer, against the visitor calendar, and a campus brings staff, landlords and services with it. Akdeniz University enrols over 60,000 students in Antalya, about 2.2% of the province's 2.72 million residents. Griffith University's Gold Coast campus has 21,000 students, 3.1% of the city, and the University of the Algarve about 10,000, 2.1% of the region.

Hospitals follow. The Gold Coast opened its A$1.8bn university hospital in 2013 as a teaching and research hospital; with Griffith University's campus it anchors a 200-hectare health and knowledge precinct. Dubai set up Dubai International Academic City in 2007, and the cluster now reports more than 28,000 students.

At 2 to 3% of residents, a city of one million people, the population planned for Ras El Hekma, would host 20,000 to 30,000 students. New Alamein already had one operating university in September 2025, Alamein International University, with two more in development and two international schools in licensing.

A state-funded floor is the one remedy whose effect is directly attributed. Spain's IMSERSO programme sells subsidised off-season holidays to pensioners and offers 879,213 places for 2026-27, half of them on the mainland coast. Benidorm's hotel association credits it with keeping 87.6% of the town's hotel plant open from October 2023 to March 2024, when 57% of hotels in Castellón province closed. The floor comes at a price. Hotels dedicated to the programme ran at 65 to 70% occupancy, 10 to 20 points below the city average, and a late start in November 2019 cost Benidorm about 60,000 hotel nights.

20,000 to 30,000

students implied for a city of one million at the 2 to 3% benchmark (Heirstone analysis)

87.6%

of Benidorm's hotel plant open from October 2023 to March 2024

879,213

IMSERSO off-season holiday places, 2026-27 season

WEAK REMEDIES

Events extend the season when held outside the peak; remote-worker visas barely register

Remote workers are often prescribed for empty resort towns. The numbers are small. Spain had issued 27,875 international-teleworker permits by the end of 2024, including 13,620 for family members, up from 9,568 a year earlier. They make up a fifth of the 138,803 people holding Spain's mobility permits for investors, executives and skilled workers. Marbella alone had 160,478 registered residents in 2025, 49,813 of them foreign nationals. The whole national stock of digital-nomad permits is little more than half the foreign residents of that one town.

Residents who come for an incentive can leave as fast as they arrived. Antalya's foreign residents rose from 94,000 in 2020 to 172,487 in 2022. The same report put the fall over the following year at about 40,000. By the end of 2023 the province counted 117,052 foreign residence-permit holders, after 44,383 left during the year, and sales of homes to foreigners in January to September 2023 were 29% below a year earlier. The counts are not on identical definitions. Portugal closed its Non-Habitual Resident tax regime to new entrants from 2024; its annual cost to the state had risen from EUR 770m in 2019 to EUR 1.21bn in 2021, and reached EUR 1.74bn in 2024 as applicants rushed to qualify before the closure.

Events lift the off-season when they fall outside the peak. The Alamein Festival, from 18 July to 29 August 2025, is a high-summer event; the Egypt International Aerospace Show, on 8 to 10 September 2026, falls in the last days of the beach season, a step towards the shoulder months that later dates could extend. Dubai holds a summer festival in July and August; in July 2014, a month that included Ramadan, full-service hotel occupancy in the city was still 50.3%, according to HotStats, and UAE hotels averaged 46% in July 2018, according to STR. By summer 2023 many UAE hotels were running at 80 to 85%. The measures differ, and the change took most of a decade.

Mega-events are the most expensive route. Russia's bid for the Sochi Winter Olympics estimated the programme at about US$11.3bn. Its final cost is commonly reported at about US$50bn, of which about US$10.8bn, or 21%, related directly to the Games and the rest to the city and the region, according to a 2017 academic review of the programme.

> *Spain's entire stock of digital-nomad permits is little more than half the foreign residents of Marbella alone.*

27,875

digital-nomad permits issued by Spain, including family members, to the end of 2024

40,000

fall in Antalya's resident foreign population in the year after its 2022 peak of 172,487, about a quarter (Cumhuriyet/DHA)

8-10 Sep

dates of the 2026 Egypt International Aerospace Show at Alamein, at the close of the beach season

US$50bn

Sochi Olympic programme, against about US$11.3bn in the bid

CHAPTER 5

05

The bill for August

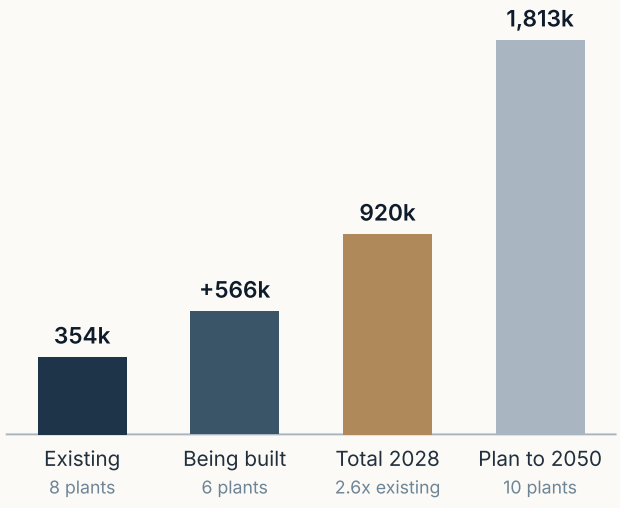
A coast sized for its busiest weeks pays for that capacity all year, out of a resident tax base that can be a fraction of the summer crowd.



EXHIBIT 15

North Coast desalination is set to rise 2.6 times by 2028

Seawater desalination capacity serving the North Coast, thousand m³ a day, by stage



Source: Al Mal News quoting the Minister of Housing (11 Aug 2026); Maspero (9 Aug 2026). **Heirstone analysis** for the multiple and the population equivalents in the text. Maspero puts existing capacity at 360,500 m³; it does not say whether the 2050 plants add to or replace existing capacity.

Egypt is putting the North Coast's utilities in place for its new cities. The Housing Minister put existing desalination capacity at about 354,000 m³ a day in August 2026, with 566,000 m³ under construction, for about 920,000 m³ by 2028. The state broadcaster listed ten more plants to 2050 with 1,813,000 m³ a day between them, so capacity is being added in stages. El Dabaa's four nuclear units, 4,400 MW under construction since 2022, are expected by 2030.

The Algarve's new plant is designed to serve about 150,000 people with 43,200 m³ a day, or 0.29 m³ each. At that ratio, 920,000 m³ would serve about 3.2 million people, of the order of the 2.6 million or more planned for New Alamein and Ras El Hekma together in the long term. The coast's summer population is not counted on a single day, so these ratios describe capacity only.

HEIRSTONE ANALYSIS: WHAT THE PEAK COSTS PER NIGHT

Capacity sized for the busiest month and used in step with tourist nights runs, over a year, at the index score divided by 12: 29% in Adriatic Croatia, 41% on Crete, 46% in the Balearics, 74% on Malta and 86% in the Canaries (2025). The capital cost carried by each occupied night is then 2.4 times that of a flat year on Crete and 1.35 times on Malta.

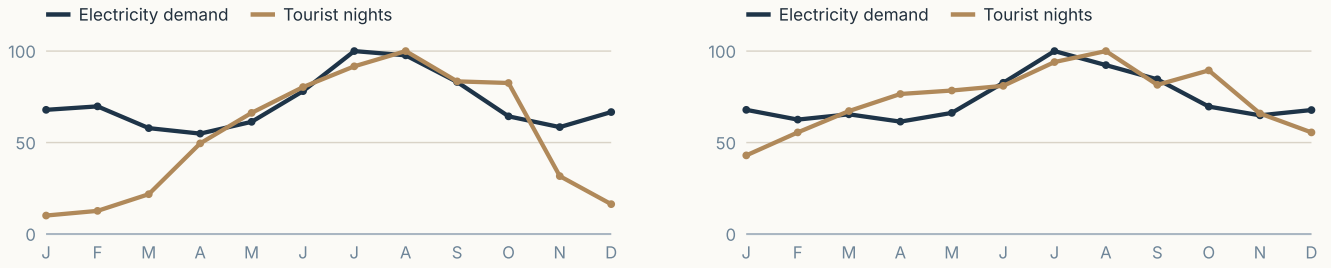
SIZING FOR THE PEAK

Cyprus's tourist nights swing almost ten times across the year; its electricity demand swings less than twice

EXHIBIT 16

Residents keep a grid busy in winter; visitors set the summer peak

Electricity available to the internal market and nights in tourist accommodation, indexed to the busiest month (=100), 2025: Cyprus (left), Malta (right)



Source: Eurostat, nrg_cb_em and tour_occ_nin2m (2025). **Heirstone analysis.**

EXHIBIT 17

The Algarve is building desalination in stages; the Gold Coast runs one plant at part load

Capacity, capital cost and operating approach of two seawater desalination plants, as published

	GOLD COAST, QUEENSLAND	ALGARVE, PORTUGAL
Design capacity	133,000 m³ a day, about 48.5 million m³ a year; feeding the regional grid since 2009	16 million m³ a year in the first stage; 43,200 m³ a day for about 150,000 people
How capacity is added	One plant, run at a third, two thirds or full output	Designed to expand from 16 to 24 million m³ a year
Capital cost	About A$1.1bn	EUR 107.9m, under Portugal's Recovery and Resilience Plan

Source: Water Technology, Gold Coast Desalination Plant project profile; Águas do Algarve, EDAM project page and key figures. **Heirstone analysis** for the annual equivalent of daily capacity. Currencies are nominal and unconverted.

Island grids show how far a resident population steadies demand. In 2025 Cyprus's tourist nights in August were 9.85 times January's, while electricity demand peaked in July at 1.82 times its April low; Malta's ratios were 2.33 and 1.63. Residents carry the winter base load, and the summer peak still sets the size of the system.

Resort towns rarely count their summer population. The head of the Algarve's association of municipalities has said that the region's population triples in the summer months. The 6 to 7 million summer visitors cited for the North Coast in press reports are season totals, not a count on a single day.

Two desalination plants show the choice. The Gold Coast's plant, built for 133,000 m³ a day, can run at a third, two thirds or full output, according to Water Technology. The Algarve's EUR 107.9m plant is built for 16 million m³ a year and designed to expand to 24 million, about EUR 6.7 of capital cost per m³ a year of first-stage capacity.

1.82x

Cyprus's electricity demand, busiest against quietest month, 2025, against 9.85x for its tourist nights

16 to 24m

m³ a year: the Algarve plant's first stage and its planned expansion

CHAPTER 6

06

The North Coast, the Red Sea and the Gulf

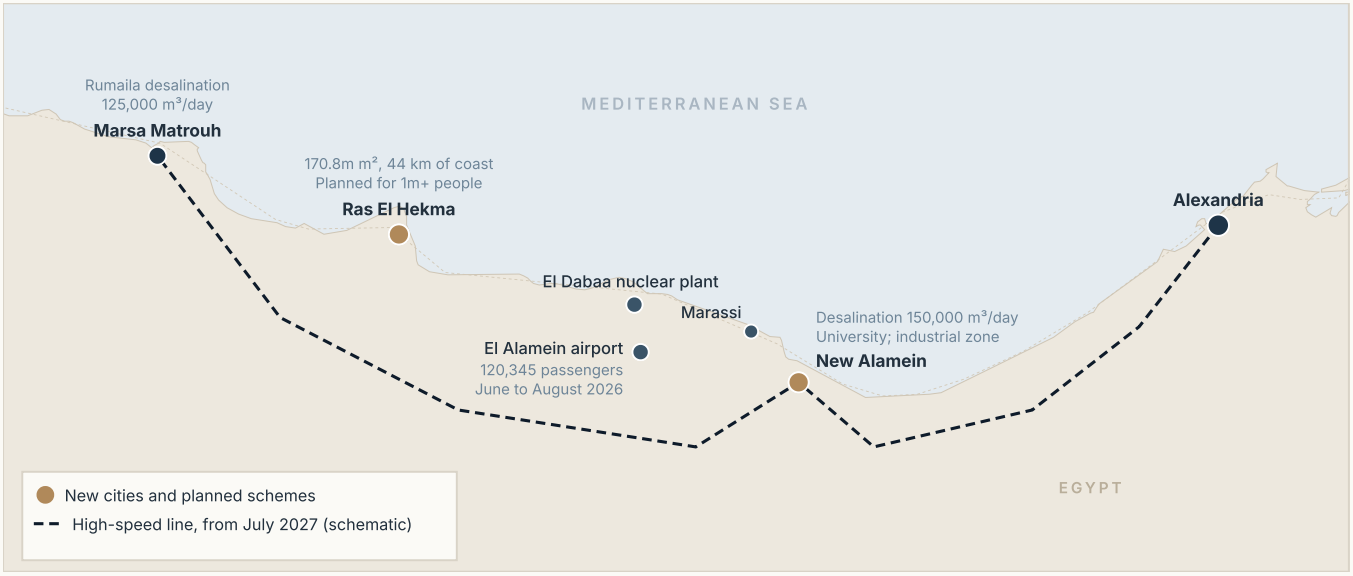
Egypt's North Coast is where the region is answering the question in this report at city scale: more than 300 km of Mediterranean shore in Matrouh governorate, a beach season from June to mid-September, and a state programme to turn it into permanent cities.

Saudi Arabia's Red Sea projects start from the other end, with capped visitor numbers and hotel-led resorts. Dubai is the region's example of a city that filled its weak season.

EXHIBIT 18

The North Coast: new cities, airports and utilities along the Alexandria to Marsa Matrouh corridor

Selected places, infrastructure and published figures



Source: Natural Earth; El Alamein airport and El Dabaa (town) positions from GeoNames; New Alamein, Alexandria, Marsa Matrouh, Ras El Hekma and Marassi positions approximate; rail route schematic. Figures: Ministry of Civil Aviation via Ahram Online (Aug 2026); Enterprise (Sep 2025); Maspero (Aug 2026); Modon ADX disclosure (May 2026); WATG (Jun 2026).

547,700

Matrouh governorate's residents in 2023, 65.7% of them urban (Ministry of Planning)

6 to 7m

summer visitors a season cited in press reports on Matrouh, within driving distance of Cairo and Alexandria

US$4.5bn

contract for the 660 km high-speed line from Ain Sokhna to Marsa Matrouh, signed in 2021

The corridor is being joined up. The first high-speed line, about 660 km from Ain Sokhna through Cairo and Alexandria to El Alamein and Marsa Matrouh, was contracted in 2021 for US$4.5bn and has 21 stations. Trial running without passengers was due to begin in September 2026, with passenger services planned from July 2027.

Air access is growing quickly. El Alamein's June to August traffic rose 22.6% in 2026 to 120,345 passengers, and its flights 21.4%, according to the aviation ministry. Modon's masterplan for Ras El Hekma adds a new international airport, a cruise terminal and marinas. Rail is the link most likely to widen who can live on the coast and work in Alexandria.

PLANS AND PEOPLE

Seven years in, New Alamein has a university, an industrial zone and a government summer seat

EXHIBIT 19

The North Coast's year-round anchors are being put in place in phases, from 2018 to 2052

Published milestones for New Alamein, the coastal corridor and Ras El Hekma, by phase, as at 2026

PLACE	IN PLACE BY 2025	NEXT PHASE	LONG TERM, TO 2052
New Alamein	Launched in 2018; one university open and two in development; 5,500-feddan industrial zone; 18 towers completed and 3,000 homes handed over	First phase due by 2030; a second desalination plant of 100,000 m³ a day planned beside the 150,000 in service	1.6 million residents targeted by 2052 (Enterprise); launch plans in 2018 spoke of over 3 million
Coast and corridor	High-speed line contracted in 2021 for US$4.5bn; eight desalination plants with about 354,000 m³ a day; EGP 17.3bn of public investment in Matrouh, FY2023/24	Rail trials due from September 2026 and passenger services from July 2027; desalination of 920,000 m³ a day by 2028; El Dabaa's four nuclear units by 2030	Ten more desalination plants to 2050, with 1,813,000 m³ a day between them
Ras El Hekma	ADQ paid US$24bn for development rights over 170.8 million m² in 2024; Egypt keeps a 35% stake; Wadi Yemm, the first phase, launched in October 2025	Seven hotels in the first phase (WATG), including Montage, with 200 keys and 96 residences	Over one million people, 17 precincts and nearly 30 hotels (WATG); US$110bn of investment by 2045, about 750,000 jobs, a new international airport and a cruise terminal (Modon)

Source: Al-Ahram Gate (1 Mar 2018); Enterprise (3 Sep 2025); Akhbar El Yom (12 May 2026); World Nuclear Association (2026); Ahram Online (Aug 2026); Al Mal News (11 Aug 2026); Maspero (9 Aug 2026); MPED, Matrouh citizen plan 2023/24; ADQ (Feb 2024); Daily News Egypt (Aug 2026); Modon ADX disclosure (May 2026) and press release (Jul 2026); WATG (26 Jun 2026). **Heirstone analysis.**

New Alamein was launched in 2018, when state press described a city for more than 3 million people; Enterprise reports a long-term target of 1.6 million by 2052. By September 2025, 3,000 mid-income homes had been handed over, from which Enterprise calculated, at four people per household, 13,000 to 15,000 year-round residents.

The city authority is clear about the aim: in May 2026 its head said New Alamein is "not a tourist village" and does not target the season, with the first phase due by 2030. Visitor numbers are rising: Ahram Online reports that Alamein expected 300,000 tourists in 2026, against about 170,000 in 2025. The cabinet reported 266,600 airport passengers for January to July 2026, up 57% (released on 11 July); read with the aviation ministry's 120,345 for June to August, that implies at least 146,000 between January and May.

Ras El Hekma is planned as a city from the outset. ADQ paid US$24bn for development rights over 170.8 million m² with 44 km of coast, and Egypt keeps a 35% stake; the Prime Minister described it as a "fully functional urban community and not just a beach resort". In 2024, the year of the deal, Egypt's net inflows of foreign direct investment reached US$46.58bn, against US$9.84bn in 2023, according to the World Bank.

Bayut, a property portal, reports more than 310,000 planned homes. At four people per household, one million year-round residents would mean about 81% of them lived in all year: a city's share, like Palma's 84%, in keeping with a plan for a full city. The housing mix, and the jobs and institutions behind it, will set the pace.

300,000

tourists Alamein expected in 2026, against about 170,000 in 2025 (Ahram Online)

750,000

jobs Modon projects for Ras El Hekma, with US$110bn of investment expected by 2045

146,000+

passengers at El Alamein in January to May 2026 implied by the cabinet and ministry figures, outside the summer peak (indicative Heirstone analysis)

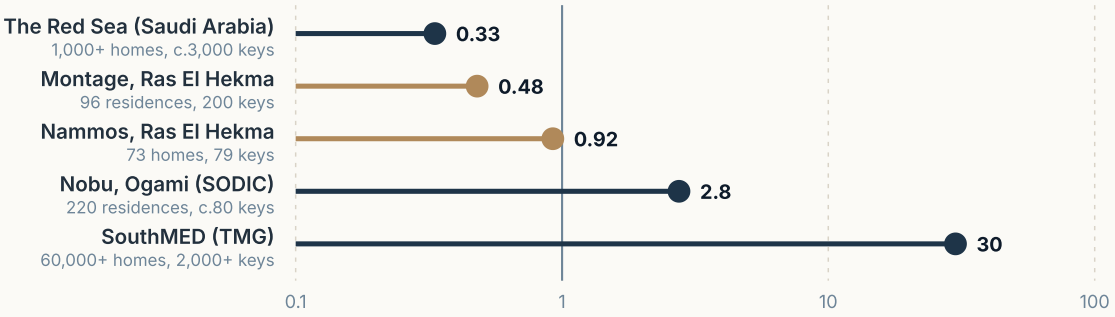
HOMES, ROOMS AND THE CALENDAR

North Coast sales reached an estimated EGP 520bn in 2025; hotel keys are set to reach 6,700 by 2030

EXHIBIT 20

Ras El Hekma's branded hotels, like The Red Sea, have fewer homes than hotel keys

Published residential units per published hotel key, selected coastal schemes (log scale)



Source: Red Sea Global (The Red Sea); Modon ADX disclosure (17 May 2026); TradeArabia (Nammos); Enterprise (14 Jul 2025, Ogami); Daily News Egypt (2 Jul 2024) and Egyptian Streets (3 Jun 2026) for SouthMED. **Heirstone analysis.** Several figures are published as minimums; the SouthMED homes figure is single-source.

North Coast sales have grown more than eighteen-fold in five years in nominal pounds. According to The Board Consulting, a market research firm, they rose from EGP 28bn in 2020 to EGP 80bn in 2022 and about EGP 520bn in 2025, and made up about a third of national sales in gated communities across 2024 and 2025. By the same firm's estimate, three launches, SouthMED, Hacienda Ras El Hekma and Wadi Yemm, sold about EGP 258bn between January and mid-August 2026.

Hotel supply is growing alongside homes. JLL puts the North Coast's hotel stock at about 4,000 keys and expects about 6,700 by 2030. Marassi lists 3,300 hotel keys, SouthMED more than 2,000 and SODIC 550 hotel units by 2029, and the branded hotels being added at Ras El Hekma have fewer homes than keys, like the Saudi Red Sea project, which caps visitors and is not planned as a city. Hotels and managed rental pools can contract winter capacity with airlines and tour operators; privately held homes depend on each owner's calendar.

EGP 520bn

North Coast sales in 2025, according to The Board Consulting, against EGP 28bn in 2020 (nominal)

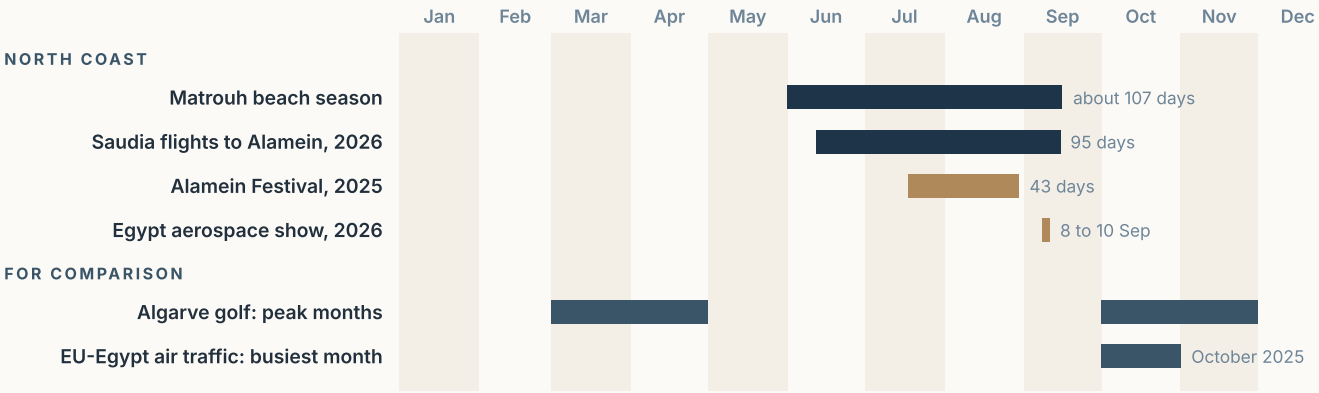
6,700

hotel keys expected on the North Coast by 2030, up from about 4,000 (JLL)

EXHIBIT 21

North Coast calendar: summer season, Gulf flights and a September air show

Season, seasonal flights and events by date, with winter-demand peaks elsewhere for comparison



Source: Youm7 (21 Apr 2026); Ahram Online (18 Aug 2026); Al-Ahram Gate (3 Jul 2025); Diário de Notícias citing CNIG (16 Aug 2024); Eurostat, avia_paexcc (2025). Season length is a **Heirstone calculation** to 15 September.

SAUDI ARABIA, THE UAE AND NORTH AFRICA

Capped resorts on the Red Sea, and a Gulf city that has filled its summer

Saudi Arabia: capped, hotel-led resorts

Red Sea Global's The Red Sea destination covers 28,000 km² and over 90 islands. It caps visitors at one million a year, with around 3,000 keys across 18 hotels and more than 1,000 homes; its airport handles 70 flights a week, and 760,000 solar panels power the destination. AMAALA's first phase has nine resorts with over 1,600 keys, SAR 51.04bn of investment and a cap of 500,000 visitors a year. The first Red Sea resorts ran at 50 to 60% occupancy in their first year, according to AGBI, against a target of one million tourists a year by 2030.

The model answers two of the January Test's questions by design. A visitor cap fixes the design peak for utilities, and hotel-led tenure keeps beds saleable in any month. Monthly occupancy is not published, so the seasonal profile cannot yet be measured. In the Gulf the weak months are the hot ones: EU-UAE air traffic is lowest in June, and Dubai International's quietest quarter in 2025 was the second.

The UAE: a city that filled its weak season

Dubai International handled 95.2 million passengers in 2025, and its busiest quarter was only 12% above its quietest. Dubai holds a summer festival in July and August and set up an academic cluster in 2007. Hotel occupancy averaged 80.7% across 154,264 rooms in 2025, according to the Department of Economy and Tourism. July occupancy of 46 to 50% in 2014 to 2018, on the measures available, had become 80 to 85% at many UAE hotels by 2023.

For Egypt's North Coast, the Gulf is a summer source market, whose residents travel in the months when their own cities are quietest. It complements the European market that peaks in October on Egypt's Red Sea coast. A Gulf winter market for the North Coast would need a product built for the cooler months.

Morocco: resorts with and without towns

Morocco's Plan Azur offers a comparison. Saïdia's 804-berth marina opened in 2009, and the CDG group took over the resort's development in 2012, according to TelQuel. In 2023 its five hotels offered about 6,000 beds against the 16,000 planned, and the regional tourism council's president said the resort works two months a year, according to Médias24.

On Tamuda Bay, the coast between Martil and Fnideq, the resorts sit beside existing towns: Martil, M'diq and Fnideq counted about 241,000 residents in the 2024 census. The contrast is consistent with the European evidence on resorts built next to established populations.

1m

annual visitor cap at The Red Sea; 500,000 at AMAALA

0.33

homes per hotel key at The Red Sea (Heirstone analysis)

1.12

Dubai International: busiest quarter against quietest, 2025 (Heirstone analysis)

241,000

residents of Martil, M'diq and Fnideq on Morocco's Tamuda Bay, 2024 census (Heirstone analysis)

CHAPTER 7

07 The January Test

We propose five checks for any coastal city plan in the region, each with a benchmark drawn from the evidence in this report. They are meant for the planning stage, when the answers are still cheap to change. A plan that passes all five has the ingredients of the city-anchored coasts in our index; one that passes fewer shows where the work remains.

	TEST	MEASURE	BENCHMARK EVIDENCE	HEIRSTONE THRESHOLD
1	Residence	Share of homes that are main residences; dwellings per resident	Biarritz 57.8% and Saint-Jean-de-Luz 55.0%, about one dwelling per resident. Pure resorts 19 to 38%; La Grande-Motte 25.2% and 2.46 after 55 years	**At least half of homes lived in all year, set by plot and product before launch**
2	Winter demand	Share of nights or passengers from November to March; January as a share of August	City-anchored coasts 28 to 32% of passengers; Faro and the Algarve about 20%; high-summer resorts 3 to 12%; EU-Egypt 38.2%	**A fifth or more of demand in November to March, from markets whose holidays fall then**
3	Year-round work	Students and non-tourism jobs per resident; staff housed in the town	Universities at 2 to 3% of residents in Antalya, the Gold Coast and the Algarve. Saint-Tropez: 1.17 jobs per resident, workforce largely outside	**An institution or employer open in phase one, with homes for its staff**
4	Reach	Daily access to a large city by road or rail	Biarritz and Saint-Jean-de-Luz in the Basque corridor; Malaga's ratio down to 1.98	**A scheduled link that makes a daily commute or a winter weekend routine**
5	Utilities	Capacity per resident; expansion in stages; who pays for the peak	Algarve plant staged from 16 to 24 million m³ a year. Gold Coast plant run at a third, two thirds or full output	**Capacity phased to measured occupancy, with second homes paying for the peak**

READING THE OUTCOME: THE FOUR PROFILES OF THE SEASONALITY INDEX

High-summer resort
below 6 peak months
Mykonos, Rhodes, Heraklion

Long-season resort
6 to 8
Palma, Antalya, Faro

City-anchored coast
8 to 9.5
Nice, Malaga, Malta, Alicante

Winter-sun coast
above 9.5
Tenerife Sur, Lanzarote; EU-Egypt proxy

Thresholds are Heirstone proposals derived from the benchmarks shown. They test the ingredients of a plan and make no forecast of its outcome.

THE TEST APPLIED

The Egyptian plans already name the anchors of a year-round coast

EXHIBIT 22

The January Test applied to four coastal plans in the region

Heirstone assessment of published evidence at 2026

● In place ◐ Planned or partial ○ Not yet evidenced in public sources — Not the model's aim

TEST	NORTH COAST TODAY	NEW ALAMEIN	RAS EL HEKMA, AS PUBLISHED	SAUDI RED SEA RESORTS
Residence	◐ 2017 census: 46.9% of Matrouh's homes unoccupied, including second homes closed for the season, so just over half lived in; predates New Alamein	◐ Enterprise estimates 13,000 to 15,000 year-round residents; 3,000 mid-income homes handed over	◐ Plan for 1m+ people across 17 precincts; housing mix to be published	— Hotel-led: about 1,000 homes to 3,000 keys at The Red Sea
Winter demand	○ Summer airline schedules; beach season June to mid-September; El Alamein's summer traffic +22.6% in 2026	◐ Airport traffic +57% in January to July 2026 (cabinet data); at least 146,000 passengers implied for January to May	◐ New international airport and cruise terminal in the masterplan; source-market plan to be published	◐ Own airport with 70 flights a week; first-year occupancy 50 to 60%; monthly data not published
Year-round work	◐ El Dabaa nuclear plant under construction; EGP 17.3bn of public investment in Matrouh, FY2023/24	◐ One university operating, two in development; 5,500-feddan industrial zone	◐ Modon projects about 750,000 jobs; 4m m² for education reported by a property portal	— Resort employment; city functions are not part of the model
Reach	◐ High-speed line Alexandria to Marsa Matrouh; passenger service planned from July 2027	◐ On the high-speed line; El Alamein airport nearby	◐ On the corridor served by the new line, station to be confirmed; new international airport planned	— Remote by design; reached by air
Utilities	◐ Desalination rising 2.6 times to 920,000 m³ a day by 2028, in stages to 2050	◐ 150,000 m³ a day plant in place and 100,000 planned, ahead of the city's growth	○ Utility plan to be published	● Visitor cap fixes the design peak; 760,000 solar panels

Source: Heirstone January Test applied to sources cited in Chapters 3 to 6. The assessment covers published evidence only and makes no judgement on the merits of the plans; each plan is assessed against the tests its stated model addresses, and the North Coast today is shown as the baseline the new cities start from.

Read across, the scorecard shows plans that have chosen the right anchors in principle. New Alamein has a university, an industrial zone and government functions; Ras El Hekma's promoters project hundreds of thousands of jobs; the high-speed line is planned to put both on a scheduled link to Alexandria from July 2027. In the European sample these are the features of the city-anchored coasts.

Three elements would complete the case. The first is a published housing mix, the variable on which the year-round population depends most. The second is a winter market for a coast whose air traffic, events and Gulf demand are strongest in summer; Egypt's Red Sea resorts already draw one. The third is utilities phased to occupancy, so that capacity grows with the residents who will use it all year.

The Saudi resorts are designed around capped visitor numbers and hotel-led tenure, so the residence and reach tests are not their aim. In a hot climate their quieter months are likely to fall in summer, the reverse of the North Coast's, which monthly data would confirm or rule out.

3

year-round anchors already in the Egyptian plans: universities, an industrial zone and a high-speed rail link

July 2027

planned start of passenger services on the Ain Sokhna to Marsa Matrouh high-speed line

RECOMMENDATIONS

Decisions to take before the first sale

Most of what decides a coast's winter is cheap to set in a masterplan and expensive to change once homes are sold. These recommendations follow the January Test.

Governments and land agencies

1. Write the occupancy mix into the masterplan: a share of main-residence product by plot, and homes for the workforce inside the city boundary. Saint-Tropez has more jobs than residents.
2. Phase water and power to measured occupancy, with expansion built into each plant, as the Algarve has done.
3. Ask second homes to pay for the peak capacity they create, through property or service charges, as France and Wales now do.
4. Give investors the evidence to price the winter market: monthly passengers for El Alamein and Marsa Matrouh, hotel nights and utility output, and closed dwellings counted by reason in the next census. Estimate the summer population from water or waste data.
5. Add flagship events in October and November or March and April, building on the September aerospace show at Alamein.

Master developers

1. Report January occupancy alongside sales, and design for year-round living: schools, clinics and shops within reach, and homes for families as well as summer stays.
2. Lead each phase with hotels or managed rental pools that can contract winter capacity, on the model of Ras El Hekma's branded hotels, which have fewer homes than keys.
3. Sign an anchor institution for the first phase, a campus, hospital or school, sized against the 2 to 3% student benchmark.
4. Build winter products for markets whose holidays fall then, such as golf, wellness, meetings and winter sun. Foreign guests supply 80.9% of the Algarve's winter nights.

Investors and lenders

1. Underwrite on peak-equivalent months and the November to March share, from monthly data, alongside August occupancy.
2. Treat incentive-led residents and event-led visitors as cyclical. Antalya's foreign residents fell by about a quarter within a year of their peak.
3. Model service charges, utilities and staffing over twelve months. On summer islands the winter risk is closure: Crete uses 1.2% of its bed-places in January.
4. Test the July 2027 rail opening as a scenario for North Coast occupancy. Access to a large city carries the strongest evidence in our ledger.

Hotel operators

1. Contract shoulder and winter seats with airlines and tour operators early. October is the busiest month for EU-Egypt air traffic.
2. Use state or employer-funded winter programmes to hold a floor, priced for occupancy 10 to 20 points below the market, as in Benidorm.
3. Coordinate winter opening across the destination. Benidorm keeps 87.6% of its hotel plant open in winter; Castellón province closes 57%.

Heirstone advises landowners, developers, investors and governments on coastal and destination real estate: demand and seasonality studies, highest and best use, masterplan and phasing strategy, feasibility (DCF, IRR, NPV and Monte Carlo testing) and benchmarking of the kind in this report.

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NOTES, SOURCES AND DEFINITIONS

Notes

Definitions

Heirstone Seasonality Index: peak-equivalent months: annual passengers (or nights) divided by those of the busiest month. 12 means a flat year.

Peak / low: busiest month divided by quietest month in the calendar year.

November to March share: January, February, March, November and December of the same calendar year as a share of the year.

Implied bed-place utilisation: nights divided by (bed-places x days in the month). Bed-places are an annual stock that includes establishments closed in winter.

Second-home share: France: résidences secondaires et logements occasionnels. Spain: viviendas no principales, including empty dwellings. USA: housing held for seasonal, recreational or occasional use. Egypt: all vacant units in the 2017 census, including those closed because the family has another dwelling.

Homes per hotel key: published residential units divided by published hotel keys.

Load factor and carry factor: index score divided by 12, and its inverse: the average use over a year of capacity sized for the busiest month, and the multiple of a flat year's capital cost carried by each occupied night.

Method

Monthly series were extracted from Eurostat's public API in 2026. Calculations labelled Heirstone analysis use only the published inputs shown. Currencies are nominal and unconverted. Estimates published by a single secondary source are attributed in the text. Where sources conflict we give the range or the more conservative figure and say so: New Alamein's targets range from 1.6 million by 2052 to over 3 million; Ras El Hekma's expected investment is US$110bn by 2045 in Modon's 2026 disclosure against over US$150bn in ADQ's 2024 release; El Alamein's cabinet and ministry passenger series cover different periods and are compiled separately, so the January to May figure derived from them is indicative; existing North Coast desalination is 354,000 m^3 a day according to the Housing Minister and 360,500 m^3 according to the state broadcaster, and we use the former. Positions marked approximate on maps are indicative.

Use of this report

This report is published for general information. It is not investment, legal or valuation advice and should not be relied on as such. The January Test assesses published evidence, not the merits of any project. © Heirstone Consulting L.L.C-FZ, 2026. Images are illustrative.

Sources by chapter

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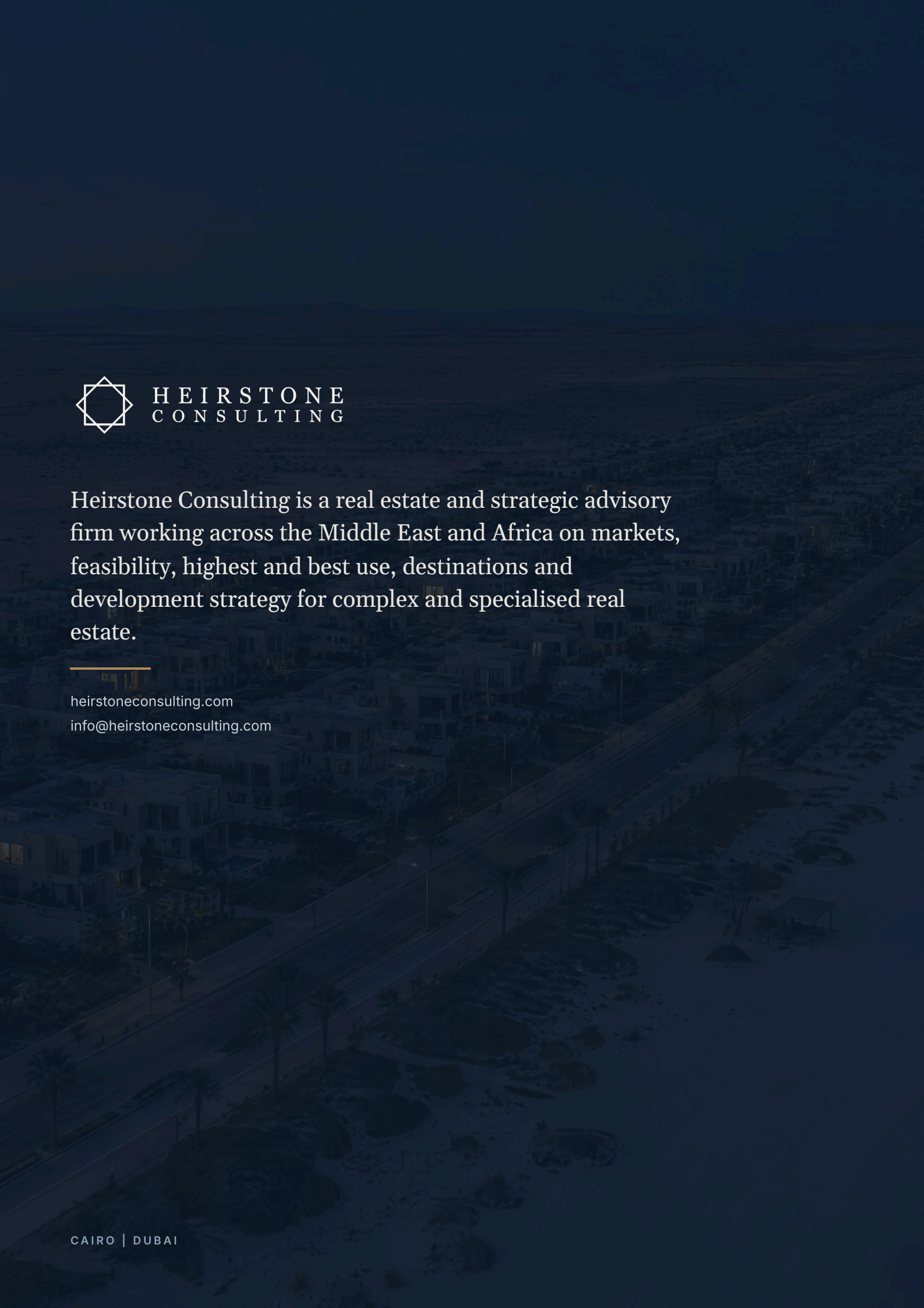
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